Expungement Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

Claimant Gerard Joseph Costello	Case Number: 25-01939
vs.	
Respondent UBS Financial Services Inc.	Hearing Site: New York, New York

Awards are rendered by independent arbitrators who are appointed pursuant to Rule 13806 of the Code of Arbitration Procedure ("Code") to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Associated Person vs. Member

The expungement hearing was conducted by videoconference.

REPRESENTATION OF PARTIES

For Claimant Gerard Joseph Costello ("Claimant"): David I. Hantman, Esq., Bressler, Amery & Ross, P.C., New York, New York.

For Respondent UBS Financial Services Inc. ("Respondent"): Omar Perez, Esq., UBS Business Solutions US LLC, Nashville, Tennessee.

CASE INFORMATION

Statement of Claim filed on or about: September 15, 2025.
Claimant signed the Submission Agreement: September 15, 2025.

Statement of Answer filed by Respondent on or about: September 24, 2025.
Respondent signed the Submission Agreement: September 23, 2025.

CASE SUMMARY

In the Statement of Claim, Claimant asserted a claim seeking expungement of customer dispute information from registration records maintained by the Central Registration Depository ("CRD").

In the Statement of Answer, Respondent did not oppose Claimant's expungement request.

RELIEF REQUESTED

In the Statement of Claim, Claimant (CRD Number 1551511) requested expungement of all references to Occurrence Numbers 2240658 and 2376731 from the CRD registration records and any and all other relief that the Panel deems just and equitable.

In the Statement of Answer, Respondent requested that all costs and fees associated with the Claim be assessed solely against Petitioner.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrators acknowledge that they have each read the pleadings and other materials filed by the parties.

On September 26, 2025, Claimant advised that the customers in Occurrence Numbers 2240658 and 2376731 ("Customers") were served with a copy of the Statement of Claim and Statement of Answer and provided proof of service. The Statement of Claim was not served on the Customers within 10 days of its filing.

The Panel conducted a recorded hearing by videoconference on November 13, 2025, so the parties could present oral argument and evidence on Claimant's request for expungement. Claimant appeared by videoconference at the expungement hearing. Respondent did not appear at the expungement hearing and as stated in the Statement of Answer, did not oppose the request for expungement.

The Customers did not appear at the expungement.

No authorized representative of a state securities regulator appeared at the expungement hearing.

The Panel noted Claimant's representation that a prior arbitration panel or court has not previously ruled on expungement of the same occurrences in the CRD.

The Panel reviewed the settlement documentation related to Occurrence Number 2376731, considered the amount of payment made to any party to the settlement, and considered other relevant terms and conditions of the settlement. The Panel noted that the settlement was not conditioned on any party to the settlement not opposing the expungement request and that Claimant did not contribute to the settlement amount.

The Panel noted that the dispute related to Occurrence Number 2240658 was not settled. Therefore, there was no settlement documentation to review.

The Panel relied upon the following documentary or other evidence: Claimant's testimony at the video conference hearing, the non-opposition to expungement of Respondent UBS; Arbitrator's Exhibit 1; Claimant's Statement of Claim with its Exhibits 1-4 dated September 15, 2025; Respondent UBS' Answer to Statement of Claim dated September 23, 2025; Claimant's Proof of Service dated September 26, 2025; Claimant's Updated BrokerCheck Report dated October 28, 2025; and Claimant list of admitted Exhibits dated November 14, 2025.

AWARD

After considering the pleadings, the testimony and evidence presented at the expungement hearing, and any post-hearing submissions, the Panel has decided in full and final resolution of the issues submitted for determination as follows:

1. The Panel awards the expungement of all references to Occurrence Number 2240658, and 2376731 from registration records maintained by the CRD for Claimant Gerard Joseph Costello's (CRD Number 1551511) with the understanding that, pursuant to Rule 2080, Claimant Gerard Joseph Costello must obtain confirmation from a court of competent jurisdiction before the CRD will execute the expungement directive.

   Unless specifically waived in writing by FINRA, parties seeking judicial confirmation of an arbitration award containing customer dispute expungement relief must name FINRA as an additional party and serve FINRA with all appropriate documents.

   Pursuant to Rule 13805 of the Code, the Panel has made the following affirmative finding of fact:

   > The claim, allegation, or information is factually impossible or clearly erroneous.

   The Panel has made the above finding based on the following reasons:

   > Claimant has worked in the financial services industry for 26 years. He joined UBS in November 2015 and is currently employed with them.
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   > Claimant testified under oath to the following:
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   > Claimant began his career as an attorney, specializing in securities litigation. He transitioned his career to the securities industry by joining Donaldson, Lufkin and Jenrette in 1999, which was acquired by Credit Suisse. He joined UBS after Credit Suisse exited the domestic private banking and wealth management business. Claimant earned his B.A. in European history, cum laude, from Washington & Lee University, his J.D., cum laude, from New York Law School, and his M.B.A in Finance from the Stern School of Business at New York University. He holds series 7 (General Securities), Series 66 (state law and investment advisory), and Securities Industry Essentials (SIE) securities licenses. Additionally, he has been recognized by Forbes as a Best-in-State Wealth Advisor.
   >
   > The Yield Enhancement Strategy ("YES") is the investment at issue in the underlying customer cases. The YES team first began the YES strategy in 2004 at Credit Suisse, which had a long track record of successfully generating attractive risk-adjusted returns through various market conditions, before being brought to UBS in late 2015, when Claimant and the YES team joined UBS. The YES team consisted of a five-person team of Financial Advisors, including Claimant, which came to UBS from Credit Suisse in November 2015, after Credit Suisse exited the U.S. private wealth management business.

YES was an actively managed, options overlay trading program which aimed to generate incremental income through the strategic sale and purchase of S&P 500 index options. This was attractive to certain sophisticated, high net worth investors for a variety of reasons, including but not limited to, it was designed to generate additional, incremental income on top of clients' existing UBS portfolio without any additional investment outlay, since the value of their other accounts served as collateral for the strategy. The YES program was administered in New York through the UBS Portfolio Management Program, a discretionary trading platform for which a member of the YES team, served as the Portfolio Manager utilizing Iron Condors as its main options strategy. This strategy was not developed by Claimant or the YES team.

Claimant's role in connection with YES in his Statement of Claim is characterized as akin to that of being part of a third-party money manager or even a mutual fund management team. In the typical scenario, a UBS Financial Advisors would determine whether YES was suitable for his/her customer after satisfying numerous financial and other eligibility requirements, and if so, would recommend the YES strategy to that customer. The customer would need to satisfy certain net worth and other eligibility requirements to even be considered for an investment in YES. Notably, Claimant, in his role on the YES team, was not involved in, and played no role in, determining the suitability of the YES strategy for UBS customers. If the customer's UBS Financial Advisor recommended YES, and UBS branch management and dedicated YES supervisor approved the investment, a separate YES account would be opened for the customer. The customer would then decide how much money to commit to YES. This amount was known as the Mandate. The customer would not deposit the Mandate amount in a YES account. Instead, the customer would pledge other assets at UBS to cover debits, if any, in the YES account up to the Mandate amount (i.e., the Mandate was not an actual investment amount, but rather the amount of collateral used to fund the YES options). Claimant played no role in determining the Mandate amount. Claimant was not the YES Portfolio Manager. He did not place a single YES trade for any UBS customers. Rather, his primary role on the YES team was to explain the basics of YES and its key features and risks to other UBS Financial Advisors who, in turn, were responsible for making the determination of whether YES was suitable for their own customers, and if so, recommend YES to their customers. Therefore, Claimant remained available to answer any questions the Financial Advisors or their clients might have, while the YES Portfolio Manager, would determine which options to buy and sell on behalf of all YES investors.

Claimant was the liaison for the YES team as he had good relationships with the advisors both at Credit Suisse and UBS. He would meet with the advisors to see if they had clients who would like it and would qualify. The actual clients would have been vetted and qualified by their financial advisors before he would interact with the clients. His calls with the actual clients would last from 15-30 minutes. The referring advisor would always be on the call with them. He would go over the risks involved. He estimates that he did about 500 calls with UBS clients regarding the YES program. He did not determine suitability, nor did he provide the customers with materials. He did not recommend the investment to the customers, nor did he advise them to hold them.

The YES team did get a percentage of the fee that UBS received from the investing clients that was distributed indifferent percentages to the team. Claimant invested his own money in the YES program.

As Claimant testified, UBS repeatedly disclosed to customers, the ideal markets for YES were flat to trending, and YES would struggle in volatile markets. UBS also provided customers both monthly account statements solely for the YES Performance Reports with Market commentary. As it turned out, 2018 was an unprecedented year for market volatility. The Market reached a number of new highs and lows during 2018, culminating with the worst December for the major equity markets since the Great Depression. As a result, YES suffered its worst performance by far in 2018 (as did every other iron condor strategy, regardless of who recommended and managed it), ending December down approximately 8% and ending the year down nearly 11% and 9% for two of his customers.

Occurrence Number 2240658:

The customers filed a Statement of Claim against UBS on September 6, 2022, for $900,000.00 and Claimant was not a named party. Claimant's CRD Exhibit 1 to Claimant Statement of Claim, states, "[c]laimants' counsel alleges unsuitability and misrepresentation with respect to recommendations to invest in and hold an options overlay strategy." The customers alleged, among other things, negligence, negligent misrepresentation and omissions, breach of fiduciary duty, and fraud, breach of contract, negligent supervision, and violation of the Securities Act of Texas §§ 4001.001, et seq.

Claimant's role on the YES team was as liaison for the YES investors and UBS. He would meet with the investors after the referring financial advisor determined that the customers satisfied the stringent financial and other eligibility requirements, and that YES was suitable for them. He would explain the strategy and risk to the customers and answer any questions they had about it. He made himself available for any further inquiries these customers would have. He engaged in at least 500 of these calls and has no personal recollection of the calls with these specific underlying customers. Claimant testified that he played no role in the preparation of the materials distributed to the customers. Claimant's Exhibit 2A-2F to his Statement of Claim, were reviewed during testimony, which he testified were provided by the customer. Client Qualification Form and Options Agreements signed by the customers, the YES Strategy Suitably Checklist & Questionnaire filled out by the customers' Financial Advisor and signed by the customers; the Marketing Deck, Brochure, the YES Amendment & Form ADV signed by the customer, the YES Margin Collateral Amendment, and the YES 2018 Performance Report prepared for the customers.

In this case, Claimant did not determine the suitability of the YES investment, nor did he misrepresent to the customers recommendations to invest in this strategy. He was not their financial advisor. As the YES Portfolio Manager would determine which options to buy and sell on behalf of all YES investors. Claimant did receive a percentage of fees related to these investments. On January 5, 2023, UBS filed a Statement of Answer in response to the customers' Statement of Claim Exhibit 2H to Claimant's Statement of

Claim. Thereafter, on February 24, 2023, the customers withdrew their claim voluntarily for no compensation Exhibit 2I to Claimant's Statement of Claim.

For these reasons, the Panel grants expungement of this matter pursuant to FINRA Rule 2080(b)1(A) the claim, allegation or information is clearly erroneous as to Claimant.

Occurrence Number 2376731

The customer filed a Statement of Claim against UBS on July 23, 2024, for $620,000.00 and Claimant was not a named party. Claimant's CRD, exhibit 1 to Claimant Statement of Claim, states, "[c]laimant's counsel alleges unsuitability and misrepresentation with respect to recommendations to invest in and hold an options overlay strategy. Counsel further states clients were placed in an investment that was not in their best interest." The customers alleged, among other things, negligence, negligent misrepresentation and omissions, breach of fiduciary duty, and fraud, breach of contract, and negligent supervision, against UBS. UBS submitted a detailed Answer to the Claim (Exhibit 3H to Claimant's Statement of Claim) and then chose to settle with the customers solely as a business decision. Claimant was not in any way involved in the settlement, nor did he contribute to it. UBS settled for $332,000, 15% of the customers' Mandate amount. The Settlement Agreement is Claimant's Exhibit 3I to his Statement of Claim.

Claimant testified under oath that according to his calendar he only had one conversation with the customers around 15-30 minutes and would have asked if they had questions, told them to call him if they had any questions after this meeting. The referring advisor was on the call. Claimant had no personal recollection of the actual call, nor did he have notes of the conversation or any documents as they were not required until a later date. Claimant's Exhibits 3A-3F to his Statement of Claim, were reviewed during his testimony, which he testified were provided to the customers: Client Qualification Form and Options Agreements signed by the customers, the YES Strategy Suitably Checklist & Questionnaire filled out by the customers' Financial Advisor and signed by the customers; the Marketing Deck, Brochure, the YES Amendment & Form ADV signed by the customers, the YES Margin Collateral Amendment, and the YES 2018 Performance Report prepared for the customers.

For these reasons, the Panel grants expungement of this matter pursuant to FINRA Rule 2080(b)1(A) the claim, allegation or information is clearly erroneous as to Claimant.

2. Any and all claims for relief not specifically addressed herein are denied.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees
FINRA Dispute Resolution Services assessed a filing fee* for each claim:

Initial Claim Filing Fee	=$ 2,000.00

**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees

Member fees are assessed to each member firm that is a party in these proceedings or to the member firm that employed the associated person at the time of the events giving rise to the dispute. Accordingly, as a party, Respondent is assessed the following:

Member Surcharge	=$ 2,600.00
Member Process Fee	=$ 5,005.00

Hearing Session Fees and Assessments

The Panel has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the Arbitrators, including a pre-hearing conference with the Arbitrators, which lasts four (4) hours or less. Fees associated with these proceedings are:

One (1) hearing session on expungement request @ $1,725.00/session			=$ 1,725.00
Hearing:	November 13, 2025	1 session	
Total Hearing Session Fees			=$ 1,725.00

The Panel has assessed the total hearing session fees to Claimant.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATION PANEL

Constance Ellen Boukidis	-	Public Arbitrator, Presiding Chairperson
Ted M. Rosen	-	Public Arbitrator
David A. Schuler	-	Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm, pursuant to Article 7507 of the Civil Practice Law and Rules, that I am the individual described herein and who executed this instrument, which is my award.

Concurring Arbitrators' Signatures

Constance Ellen Boukidis — **12/01/2025**

Constance Ellen Boukidis
Public Arbitrator, Presiding Chairperson — Signature Date

Ted M. Rosen — **12/03/2025**

Ted M. Rosen
Public Arbitrator — Signature Date

David A. Schuler — **12/03/2025**

David A. Schuler
Public Arbitrator — Signature Date

Awards are rendered by independent arbitrators who issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

December 03, 2025
Date of Service (For FINRA Dispute Resolution Services use only)